

## GE261004 DESIGN THINKING

Unit V – Innovation, Entrepreneurship and Sustainability · Presentation 1 of 6

# Introduction to Innovation and Entrepreneurship

Innovation and entrepreneurship · what an entrepreneur actually does · the venture journey · the ecosystem · design-led enterprises · intrapreneurship

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# In this presentation

- Innovation and entrepreneurship
- Four types, revisited
- What an entrepreneur does
- The venture journey
- Why projects die early
- The ecosystem around you
- Three design-led enterprises
- Intrapreneurship

# 1

## Innovation and entrepreneurship

Two words that are used interchangeably, and should not be

# Innovation and entrepreneurship

## Innovation

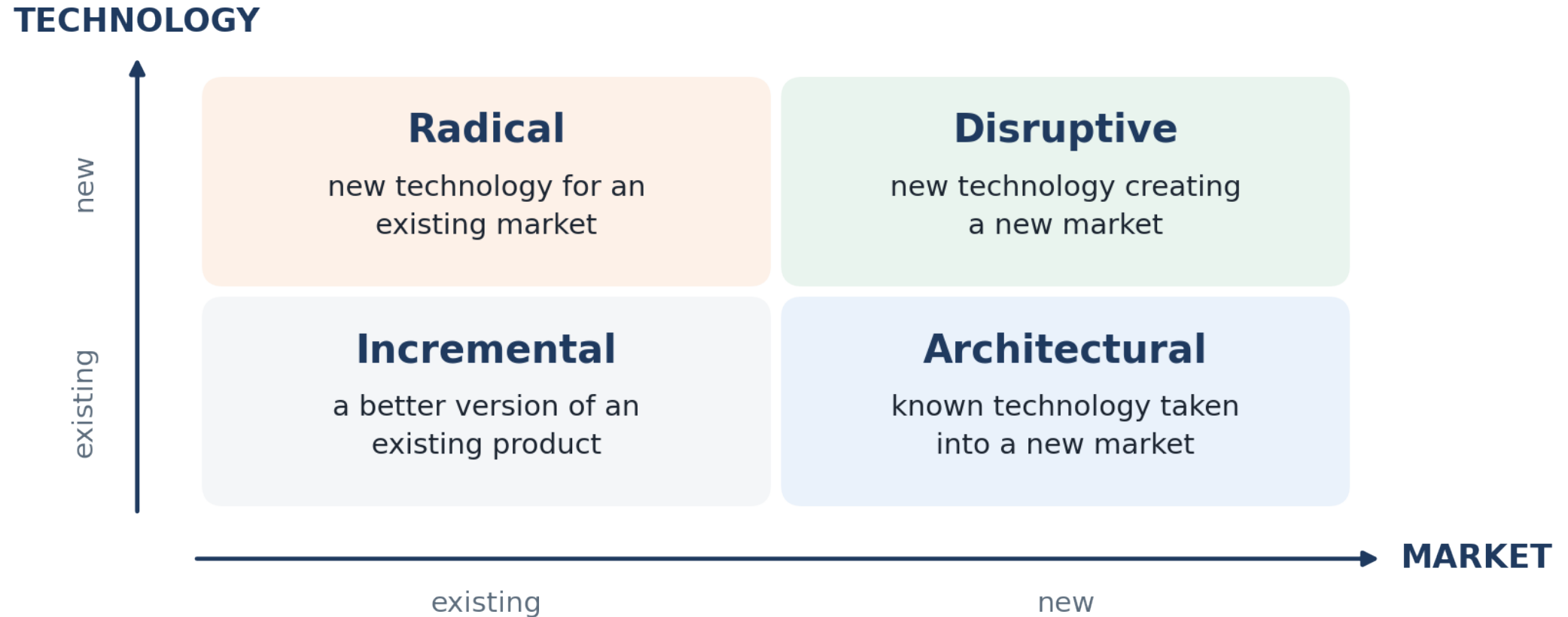
- Putting an idea into use
- Can happen inside a company
- Measured by adoption
- Needs no new organisation

## Entrepreneurship

- Building the vehicle that carries it
- Takes personal risk
- Measured by survival and scale
- Needs a model and money

**KEY POINT** You can innovate without starting a company. You cannot build a company on nothing having been innovated.

# Four types of innovation, revisited



Most successful Indian ventures start in the bottom-left, not the top-right.

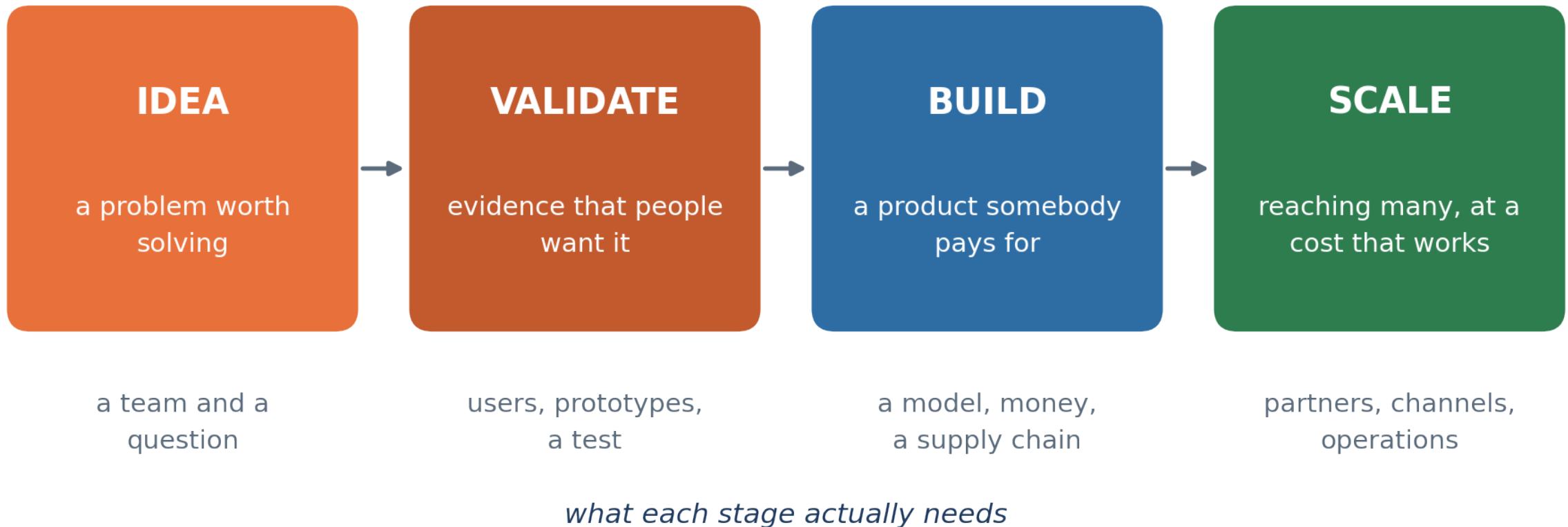
# What an entrepreneur actually does

- Finds a problem people will pay to have solved – which is a design question first
- Assembles the people, money and permission the solution needs
- Decides what to do next under real uncertainty, repeatedly
- Carries the risk when the decision turns out to be wrong

**KEY POINT** The first job is not raising money. It is proving somebody wants the thing – which is exactly what Units II to IV taught you.

# The venture journey

**Most student projects die between IDEA and VALIDATE**



Four stages, and each one needs something different from you.

# Why projects die between idea and validate

- Teams fall in love with the idea before anyone outside the team has seen it
- They build for months, then look for users – rather than the reverse
- They mistake enthusiasm for evidence, and a friend's praise for a market
- They run out of time and money on the thing that was easiest to start

**KEY POINT** More projects die from skipping validation than from any technical problem. This is the same mistake as skipping Define.

# 2

## The ecosystem and design-led enterprises

Who can help, and what design-led companies actually did

# Who is in the ecosystem

## **Incubators and labs**

Space, mentoring and a first small grant – including your own institute's incubation cell.

## **Public schemes**

The Atal Innovation Mission under NITI Aayog and Startup India, both from January 2016.

## **Mentors and alumni**

People who have already failed at what you are about to try. The cheapest help there is.

## **Early customers**

The most valuable of all: somebody who pays, and then tells you what is wrong.

# Three design-led enterprises

## Embrace

A class project that became a company, because the field trip changed the product completely.

## Aravind

A hospital that designed its business model as carefully as its surgery.

## MittiCool

A potter who built an enterprise on a constraint everyone else treated as a limitation.

**KEY POINT** In all three, the design work and the business model were the same piece of thinking, not two departments.

# Intrapreneurship

- Most of you will innovate inside an organisation, not by founding one
- The design thinking is identical; the constraints are political rather than financial
- You will need a sponsor, a small budget, and a result before anyone believes you
- Prototype quietly and show evidence – permission follows proof, not proposals

**KEY POINT** Inside a company, a working prototype is worth more than a business plan, for exactly the reasons Unit IV gave.

# In class: where is your project?

- Place your team's project on the four-stage journey, honestly
- Name the one piece of evidence that would let you move to the next stage
- Name who, outside this room, could give you that evidence
- Decide what you would have to do this week to get it

**ACTIVITY** Fifteen minutes. Each team states its stage, its evidence gap and one person it will approach.

## THINK ABOUT IT

**If your project had to earn one rupee from one stranger this month, what would you sell and to whom?**

- Who would pay – the user, or somebody else on their behalf?
- What would they be paying for, exactly?
- What is the smallest version you could sell?
- What would you learn from the first person who said no?

# Summary

- Innovation puts an idea into use; entrepreneurship builds the vehicle
- The entrepreneur's first job is evidence, not funding
- Four stages: idea, validate, build, scale
- Most projects die between idea and validate, by skipping the user
- Incubators, public schemes, mentors and early customers are all reachable now
- Inside a company, a prototype beats a proposal

# Next: Value proposition and business model basics

- What a value proposition actually is
- Jobs, pains and gains; the Value Proposition Canvas
- The nine blocks of the Business Model Canvas
- Cost, price and who actually pays